Income Exempt from Tax under the Indian Act

The Canada Revenue Agency (CRA) uses the term **Indian** because it has legal meaning under the Indian Act.

If you are registered or entitled to be registered under the Indian Act, your personal property, including income, is **exempt from tax** when it is situated on a reserve.

Use this form to calculate your **net exempt income** if **all** of the following apply:

- You are registered or entitled to be registered under the Indian Act
- You have income that is exempt from tax under the Indian Act

For more information on the tax exemption under the Indian Act, go to **canada.ca/section87-tax-exemption**.

Since net exempt income is **not** reported on an Income Tax and Benefit Return, the CRA will need this information to calculate your Canada workers benefit for the 2025 tax year, if applicable, and your family's provincial or territorial benefits. The information on this form will also be used to calculate your Canada training credit limit for the 2026 tax year.

Enter, on line 7 below, the part of your federal, provincial, or territorial government COVID-19 payments that would otherwise be taxable, but that is exempt from tax under the Indian Act.

For information about taxes and benefits for Indigenous peoples, go to **canada.ca/taxes-indigenous-peoples**.

Attach a copy of this form to your paper return.

Exempt working income

Employment income (box 71 of your T4 slip(s))				1
Other employment income such as tips, net research grants, and income maintenance insurance plans		+		2
Net self-employment income (excluding losses)		+		3
Add lines 1 to 3.	**Total exempt working income** **10000**	=		4

Other exempt income

Canada pension plan (CPP) or Quebec pension plan (QPP) benefits		+		5
Registered retirement savings plan (RRSP) or Registered retirement income fund (RRIF) income relating to exempt pension transfers from a registered pension plan		+		6
Federal, provincial, or territorial government COVID-19 payments received in the year (from your T4A or T4E slip) (1)		+		7
Other pensions and superannuation		+		8
Employment Insurance (EI), Provincial parental insurance plan (PPIP), and other benefits (box 18 of your T4E slip)		+		9
EI maternity and parental benefits and PPIP benefits included on line 9	**10019**			
Interest, dividends, and other investment income		+		10
Net rental income (excluding losses)		+		11
Social assistance payments received from a First Nation or band council		+		12
Other sources of exempt income		+		13
Add lines 4 to 13.		=		14
Net rental losses		–		15
Line 14 minus line 15		=		16
Net self-employment losses		–		17
Line 16 minus line 17	**Total exempt income**	=		18
Deductions relating to exempt income above (2)		–		19
Line 18 minus line 19 (if negative, show in brackets)	**Net exempt income** **10026**	=		20

(1) Do **not** include amounts related to the Canada child benefit, the GST/HST credit, or the one-time payment to persons with disabilities and seniors.

(2) Include registered pension plan (RPP) deductions (box 94 of your T4 slip(s)), union dues (box 95 of your T4 slip(s)), and any other deductions relating to your exempt income that apply to your situation. For more information, go to **canada.ca/taxes-deductions**.

See the privacy notice on your return.